PARTNERS of the AMERICAS
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Credit Card Policy

Effective May 1st, 2024

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Credit Card Policy (Applicable to all Corporate Cardholders)

This policy applies to home and field office staff who have been issued Partners of the Americas (Partners) corporate credit cards. Upon approval, any exceptions to this policy may be authorized in writing solely by the President & CEO, the Chief Finance Officer (CFO), or the Chief Operating Officer (COO).

1. Credit Card Policy Overview

Partners has adopted this Credit Card policy to assist with (a) the purchase of goods and services, as well as (b) to cover other miscellaneous expenses while on official assignments. The CFO is responsible for controlling and approval of credit card use by staff.

Depending on the needs and positions of the staff members, the CFO will approve issuing credit cards. The maximum credit limit is $5,000.00. However, the CEO or CFO may approve higher credit limits based on business needs and situations.

2. Partners Credit Card Platform

Partners utilizes the BILL Spend & Expense (DIVVY) credit card platform to manage expenses and track spending across departments and programs. The platform simplifies and provides flexibility to credit card usage, expense coding with documentation, and approval processes. All Partners credit cards are issued and managed within this platform.

3. Obtaining a Card

Staff requests for new credit cards should be submitted for approval by the supervisor and the CFO via the PandaDoc Credit Card Request Form. Once fully approved, the CFO is responsible for establishing card accounts, issuance, and setting credit limits of cards.

3.1 Obtaining a Card – From a local bank for locally hired personnel

As of the date of this policy, Partners does not use credit cards issued by local banks outside of the USA.

4. Cardholder Agreement

Before receiving their credit cards, all cardholders must sign the cardholder agreement in Annex A. The Cardholder Agreement must be signed and submitted in PandaDoc on the Cardholder Agreement Form.

5. Use of Corporate Credit Cards

All Partners corporate credit card holders are required to comply with the following terms and conditions:

1. The card may only be used for authorized business purposes.
2. The card cannot be used in ATM machines and must not be used to obtain cash advances.

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3. Use of the card is prohibited for any meals and incidentals while on business travel, as these expenses are covered by the per diem payment.
4. The card should not be used to purchase equipment (including laptops, mobile phones, etc.), as these items should be purchased through procurement.
5. Partners of the Americas is a tax-exempt organization in most countries. A tax invoice is required to ensure that VAT can be claimed for USG-funded projects. For charges in the USA, users are required to get a tax exemption by presenting Partners' tax-exempt certificates.
6. The user must obtain an itemized receipt. Misusing the card will result in disciplinary and legal action against the cardholder.

The following expenses are considered allowable and can be charged to Partners of the Americas corporate credit card:

- Lodging for business travel, **excluding** room service fees, upgrade fees, mini bar tabs, entertainment fees, and other amenity fees.
- Ground transportation fees (buses, taxis, Uber, Lyft, etc.) from place of lodging or business to off-site locations for meals, meetings, site visits, etc. Tips up to 20% are allowed for ground transportation. **Canceled ride charges are not allowed** unless a legitimate reason for the cancellation is documented and approved by the supervisor. Cancellation charges cannot be charged to federal awards and can only be charged to an administrative department.
- Tolls, parking, car washes, etc. for business travel
- Train fare for business travel
- Telephone calls, in-flight Wi-Fi (for work purposes), and other necessary work-related communications costs.
- Bank fees on foreign currency exchange and international bank fees.
- Business meeting expenses where not otherwise covered by per diem (including purchases for meeting meals, etc.).
    - If on travel and receiving per diem and the cardholder is unable to pay for stakeholders meal separately, then the full business meal can be charged to the card. The traveler will need to exclude that meal from their per diem request. See Partners' Travel Policy for more information.
- Office supplies below the micro-purchase limit (FO USD $2,500, HO USD $10,000)
- Subscription and licenses below the micro-purchase limit (FO USD $2,500, HO USD $10,000)
    - All IT subscriptions should be charged to the Partners' IT credit card, which is managed by the Operations Department.

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- Training, workshops, and conference registration fees for Partners required events or trainings.
- Training, workshops, and conference expenses related to professional development funds must have an HR approval form attached.

The following expenses are considered **unallowable** and **not permitted** to be charged to Partners of the Americas corporate credit card, unless approval is received from the CEO, CFO or COO:

- Airline tickets (All airline tickets should be booked through Partners' travel agent); unless an exception is approved by the CEO, COO or CFO.
- ATM withdrawals.
- Donations.
- Payments to consultants or contractors whether direct or via a website
- Program expenses typically paid out of FO bank account and included in the monthly FO cash request. I.e. office rent, utilities, security, etc.
- Purchase of equipment with a per unit value greater than USD $5,000.
- Office supplies, subscriptions, or other licenses over the micro-purchase limit (FO USD $2,500, HO USD $10,000).
- Room service fees, upgrade fees, mini bar tabs, entertainment fees and other amenity fees.
- Alcoholic beverages, unless prior approval is given by a Unit Vice President, CFO, COO, or CEO. The cost must be coded to department -19300 (Unallowable NICRA Costs) and account code 90400 (Unallowable Program Costs). The written approval must be attached to the expense.
- Entertainment (i.e., social activities and gift cards), unless prior approval is given by a Unit Vice President, CFO, COO, or CEO. Entertainment expenses cannot be charged to federal awards and can only be charged to an administrative department, unless specific approval is provided by the donor to charge directly to the federal award.
- Hair styling and haircut expenses.
- Spa, nails, and other personal services.
- Personal purchases.
- Pet sitting, babysitting.
- Additional expenses associated with the cost of first or business-class airfare unless no space is available in coach-class accommodation where a particular flight must be taken or a traveler's disability/special need must be accommodated. Prior written approval from the COO or CEO is required. The written approval must be attached to the expense.

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6. Lost or Stolen Cards

The employee is responsible for the security of the credit card and agrees to take all necessary precautions to prevent loss, theft, or unauthorized use. The employee must report lost or stolen cards to DIVVY and Partners F&A/CFO within 24 hours. Cardholders can use the BILL Spend & Expense App or login online to their account to freeze stolen or lost cards or dispute fraudulent charges.

Employees are required to create a user account with a secure login on BILL Spend and Expense web platform and phone app to manage their credit card and monitor charges.

Employees are responsible for monitoring their credit card charges and contacting the card provider to dispute and resolve fraudulent charges within three (3) business days. Employees are responsible for any unauthorized and unresolved charges.

Employees should not transfer, assign, or lend their corporate credit card to any other individual for any reason.

7. Credit Card Expense Coding and Approval Deadlines

Employees must properly **code and attach required supporting documentation** to all charges on their credit card within 48 hours of the charge. Receipts are required for all transactions $25.00 USD or more. All charges must be coded and have a "Pending approval" status by the last business day of month.

Employees are responsible for having their monthly expenses approved by their supervisor by the 5th of the following month or the last business day prior if the 5th falls on a weekend or holiday.

8. Coding Expenses

Appropriate documentation to support each transaction must be scanned and attached to each credit card charge. Additionally, all receipts must be itemized, with details of all purchases.

- Coding of charges includes Account code, Department/Program, Countries, Funder-Grant, Budget code, and notes. Notes should be in **English** and describe the business purpose of the expense.
- When coding incidental purchases, the nature of the supply and the anticipated users or business purpose must be noted.
- For lodging charges, in addition to itemized receipts, **travel authorization** must be attached.
- Parking and other similar charge descriptions should include the business purpose.

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- Expenses for business meals require the **names of people attending the meeting and the business purpose of the meal**, regardless of the amount. Meal receipts should be itemized to ensure that there is no alcohol purchase.
    - Examples of descriptions are as follows:
        - Non-sufficient Description: Dinner at Tito's
        - Sufficient Description: Dinner with program managers (Ann and Gloria) at Tito's Restaurant to Discuss Program Agenda for April HEI Event
- Any unallowable costs must be coded to account **"12111-Staff Credit Card Charges."** F&A should be notified of this charge within 48 hours to send a link to reimburse Partners. All unallowable costs will be reimbursed directly to HO.

9. Late Credit Card Expense Coding

All cardholders must complete their credit card coding for supervisor approval by the last business day of the month. If a cardholder fails to complete a credit card expense coding by the end of the month, the following consequences will occur:

1. The cardholder's card will be frozen on the 5th day of the following month.
2. If it is the cardholder's first infraction, the cardholder's card will be unfrozen within five business days after coding all past-due transactions.
3. If it is the second consecutive month **or** the third month within a six-month period (e.g., delinquencies in January, March, and May of the same year) the cardholder's card will be frozen for three months.
4. If a cardholder previously received a three-month credit card suspension, the cardholder's card will be frozen for one year.
5. The cardholder and their supervisor will receive an email on the violation.
6. The cardholder will be recorded on the compliance tracker and will be noted in the year-end performance review.
7. Frequent delinquency that results in card suspension will be reflected in the cardholder's personnel file.

10. Late Credit Card Expense Approval

All supervisors (credit card approvers) are responsible for approving their direct reports' credit card transactions by the 5th of the following month or the last business day prior if the 5th falls on a weekend or holiday.

If a supervisor fails to approve credit card expenses by the 5th of the month or the last business day prior if the 5th falls on a weekend or holiday, the following consequences will occur:

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1. The supervisor's (credit card approver's) card will be frozen on the 6th day of the following month. Their card will be unfrozen within one business day after approving all past-due transactions.
2. An email will be sent to the credit card approver and their supervisor to notify of the violation.
3. The credit card approver will be recorded on the compliance tracker and will be noted in the year-end performance review.

11. Credit Card Suspension

Failure to comply with the following requirements will result in credit card suspension.

1. Failure to complete coding transactions on time as indicated above.
2. Personal or unallowable charges more than once in a month, once a month but in two consecutive months, or three times in a six-month period.
3. Allowing an unauthorized person to use the card.
4. Any other policy violation can result in credit card suspension.

12. Credit Card Probationary Period

If a cardholder has their credit card suspended due to non-compliance, they will be placed on a six-month probation period. During the 6-month probation period, if the cardholder is non-compliant, their credit card will be suspended, and a note will be filed in their personnel file.

13. Termination of staff

HR is responsible for notifying F&A/CFO immediately when a cardholder resigns or is terminated. Supervisors are responsible for ensuring all transactions are coded and approved before the employee's last date of employment.

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Annex A

CARDHOLDER AGREEMENT

I _____, understand that the use of this card is for business-related purposes only and not to be used for personal use. I know that improper use of this card may result in disciplinary action and personal liability for improper purchases. If I fail to follow these policies, I agree to allow Partners to deduct unallowable charges from my future salary payment. In addition, Partners shall be entitled to pursue legal action, if required, to recover the cost of unallowable charges, collection costs, and reasonable attorney fees.

I am the only person entitled to use this card and am responsible for all charges made on this card.

I agree to be responsible for safeguarding this card's use and reporting disputed/fraudulent charges made on this card within three business days.

As a cardholder, I agree to comply with the terms and conditions of this agreement, and all policies and procedures of Partners of the Americas, Inc.

Signature _____ Date _____ (Cardholder)

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